

Apple Inc.

Annual Report (Form 10-K)

Filed with the Securities and Exchange Commission

APPLE INC.

FORM 10-K -- ANNUAL REPORT

Fiscal Year Ended September 30, 2023

ITEM 6. SELECTED FINANCIAL DATA

The following selected financial data should be read in conjunction with the Consolidated Financial Statements and accompanying Notes.

(In millions, except per share amounts)

	2023	2022	2021	2020	2019
Total net revenue	\$383,285	\$394,328	\$365,817	\$274,515	\$260,174
Cost of sales	214,137	223,546	212,981	169,559	161,782
Gross margin	169,148	170,782	152,836	104,956	98,392
Operating expenses	54,847	51,345	43,887	38,668	34,462
Operating income	114,301	119,437	108,949	66,288	63,930
Net income	96,995	99,803	94,680	57,411	55,256

Earnings per share:

Basic	\$6.16	\$6.15	\$5.67	\$3.31	\$2.99
Diluted	\$6.13	\$6.11	\$5.61	\$3.28	\$2.97

Total assets	\$352,583	\$352,755	\$351,002	\$323,888	\$338,516
Total long-term debt	\$95,281	\$98,959	\$109,106	\$98,667	\$91,807

ITEM 7. MANAGEMENT'S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITION AND RESULTS OF OPERATIONS

The following discussion should be read in conjunction with the Consolidated Financial Statements and Notes. This section contains forward-looking statements that involve risks and uncertainties.

Revenue

Total net revenue decreased 3% or \$11.0 billion during 2023 compared to 2022. The decrease was driven by lower iPhone and Mac revenue, partially offset by higher revenue from Services.

Products revenue decreased 5% during 2023 compared to 2022, driven by lower iPhone and Mac revenue. The weakness in Products revenue was broad-based across all geographic segments.

Services revenue increased 9% during 2023 compared to 2022, driven by growth in advertising, the App Store and cloud services. Services revenue reached \$85.2 billion, an all-time high. The Company's installed base of active devices continued to grow and reached an all-time high.

iPhone revenue was \$200.6 billion during 2023, a decrease of 2% compared to 2022. The decrease was driven primarily by lower unit sales in the Greater China segment and unfavorable foreign currency movements.

Mac revenue was \$29.4 billion during 2023, a decrease of 27% compared to 2022. The decrease was primarily driven by lower laptop sales and the different timing of product launches.

iPad revenue was \$28.3 billion during 2023, a decrease of 3% compared to 2022.

Wearables, Home and Accessories revenue was \$39.8 billion during 2023, a decrease of 3% compared to 2022.

Gross Margin

Total gross margin decreased during 2023 compared to 2022 due to the decrease in total net revenue. Gross margin percentage increased to 44.1% during 2023 compared to 43.3% during 2022, driven primarily by a favorable shift in product mix toward Services and cost savings.

Products gross margin percentage was 36.5% during 2023 compared to 36.3% during 2022.

Services gross margin percentage was 70.8% during 2023 compared to 71.7% during 2022.

Operating Expenses

Total operating expenses increased 7% or \$3.5 billion during 2023 compared to 2022. Research and development expense increased 14% due to increases in headcount-related expenses. Selling, general and administrative expense increased 1%.

Research and development expense was \$29.9 billion during 2023 compared to \$26.3 billion during 2022.

ITEM 8. FINANCIAL STATEMENTS AND SUPPLEMENTARY DATA

CONSOLIDATED STATEMENTS OF OPERATIONS (In millions)

	2023	2022
Net sales:		
Products	\$298,085	\$316,199
Services	85,200	78,129
Total net sales	383,285	394,328
Cost of sales:		
Products	189,282	201,471
Services	24,855	22,075
Total cost of sales	214,137	223,546
Gross margin	169,148	170,782
Operating expenses:		
Research and development	29,915	26,251
Selling, general and administrative	24,932	25,094
Total operating expenses	54,847	51,345
Operating income	114,301	119,437
Other income/(expense), net	(382)	(334)
Income before provision for taxes	113,919	119,103
Provision for income taxes	16,924	19,300
Net income	\$ 96,995	\$ 99,803